Australian
Competition &
Consumer
Commission

Public Competition Assessment

27 February 2008

A&R Whitcoulls Group Holdings Pty Limited (ARW) - proposed acquisition of Borders Australia Pty Limited

A. Introduction

1. On 13 February 2008, the Australian Competition and Consumer Commission (**ACCC**) announced its decision not to oppose the proposed acquisition of Borders Australia Pty Ltd by A&R Whitcoulls Group Holdings Pty Ltd (**proposed acquisition**). The ACCC was of the view that the proposed acquisition would not be likely to have the effect of substantially lessening competition in several markets, in contravention of section 50 of the *Trade Practices Act 1974* (the **Act**).

2. The ACCC formed its view on the proposed acquisition on the basis of the information provided by the merger parties and information arising from its market inquiries. This Public Competition Assessment outlines the basis on which the ACCC has reached its decision on the proposed acquisition, subject to confidentiality considerations.

B. Public Competition Assessment

3. To provide an enhanced level of transparency and procedural fairness in its decision making process, the ACCC issues a Public Competition Assessment for all transaction proposals where:
   - a merger is opposed;
   - a merger is subject to enforceable undertakings;
   - the merger parties seek such disclosure; or
   - a merger is not opposed but raises important issues that the ACCC considers should be made public.

4. This Public Competition Assessment has been issued because the proposed acquisition is considered to raise issues of interest to the public.

5. By issuing Public Competition Assessments, the ACCC aims to provide the market with a better understanding of the ACCC's analysis of various markets and the associated merger and competition issues. It also alerts the market to the

circumstances where the ACCC's assessment of the competition conditions in particular markets is changing, or likely to change, because of developments.

6. Each Public Competition Assessment is specific to the particular transaction under review by the ACCC. While some transaction proposals may involve the same or related markets, it should not be assumed that the analysis and decision outlined in one Public Competition Assessment will be conclusive of the ACCC's view in respect of other transaction proposals, as each matter will be considered on its own merits.

7. Many of the ACCC's decisions will involve consideration of both non-confidential and confidential information provided by the merger parties and market participants. In order to maintain the confidentiality of particular information, Public Competition Assessments do not contain any confidential information or its sources. While the ACCC aims to provide an appropriately detailed explanation of the basis for the ACCC decision, where this is not possible, maintaining confidentiality will be the ACCC's paramount concern, and accordingly a Public Competition Assessment may not definitively explain all issues and the ACCC's analysis of such issues.

C. The parties

The acquirer: A&R Whitcoulls Group Holdings Pty Ltd (ARW)

8. The majority share of ARW is held by Pacific Equity Partners (PEP), a private equity firm. ARW's management currently holds a minority stake in ARW. ARW's primary business is the retail sale of fiction and non-fiction books, but it also retails a small range of stationery, DVDs and videos, newspapers and magazines.

9. There are 181 ARW book stores operating in Australia; 118 stores are company owned and 63 are franchised. It also has an on-line store, launched in 1995.

10. All ARW franchisees have access to the buying terms negotiated by ARW on behalf of the company as a whole, as well as access to national advertising and promotional campaigns run under the Angus & Robertson brand. ARW franchisees have discretion on pricing and ranging.

The target: Borders Australia Pty Limited (Borders)

11. Borders is the Australian subsidiary of Borders Group Inc (Borders US) which is listed on the New York Stock Exchange. Borders first entered Australia in 1998 with a store at South Yarra in Victoria. Borders operates 22 retail book stores across Australia: seven in Victoria, nine in New South Wales, one in South Australia, one in Western Australia, three in Queensland and one in the ACT.

12. Borders' primary business is the retail sale of fiction and non-fiction books. Borders also sells a range of other items including stationery, cards, magazines, DVDs and CDs. Borders' Australian website is used as a promotional and marketing tool; it does not act as an on-line store.

D. Areas of overlap

13. The main overlap between the business activities of the two parties is in the acquisition and retail sale of books. The effects of the proposed acquisition on the relevant markets for books are discussed below.

14. ARW and Borders also both sell stationery, DVDs and videos, newspapers and magazines. However, the merger parties have relatively small shares of sales in these products and a significant number of competitors will remain post-acquisition. Market inquiries indicated no concerns in relation to these products and therefore they are not considered further in this paper.

E. Timing

15. The following table outlines the timeline of key events in this matter.

Date	Event
8 Oct-2007	ACCC commenced its review under the Merger Review Process Guidelines.
12 Oct 2007	Market inquiries commenced.
26 Oct 2007	Closing date for submissions from interested parties.
13 Nov 2007	ACCC requested further information from A&R Whitcoulls. ACCC timeline suspended.
22 Nov 2007	ACCC received further information from A&R Whitcoulls. ACCC timeline recommenced.
28 Nov 2007	ACCC published a Statement of Issues outlining preliminary competition concerns.
5 Dec 2007	Closing date for submissions relating to Statement of Issues.
19 Dec 2007	Former proposed date for announcement of ACCC's findings - amended to allow for provision of additional information from A&R Whitcoulls, and analysis of information gathered during market inquiries.
20 Dec 2007	ACCC requested further information from A&R Whitcoulls. ACCC timeline suspended.
15 Jan 2008	ACCC received further information from A&R Whitcoulls. ACCC timeline recommenced.
30 Jan 2008	Former proposed date for announcement of ACCC's findings, amended to allow for analysis of additional information provided by A&R Whitcoulls.
6 Feb 2008	Former proposed date for announcement of ACCC's findings, amended to allow for analysis of additional information provided by A&R Whitcoulls.
13 Feb 2008	Announcement of ACCC's decision.

F. Market inquiries

16. The ACCC conducted extensive market inquiries with many industry participants, including competitors, potential competitors, publishers, industry bodies and other interested parties. Submissions were sought in relation to the substantive competition issues.

G. Statement of Issues

17. The ACCC published a Statement of Issues on 28 November 2007, identifying some preliminary concerns with respect to the proposed acquisition. The Statement of Issues is available on the ACCC's website at www.accc.gov.au/statementsofissues.

H. Industry background

Definitions of front-list, mid-list and back-list titles

18. There are a range of definitions of 'front-list' and 'back-list' titles adopted in the industry depending on the context. For the purposes of this paper, the term 'front-list' is used broadly to mean new releases and bestsellers and 'back-list' to capture all books outside this category. 'Mid-list' refers to the better selling books within the back-list.

Role of RRP

19. Publishers set a recommended retail price (RRP) on all locally published titles (including overseas titles for which a local publisher has the rights). Retailers purchase books from the publisher at a certain negotiated discount to the RRP. Retailers are not bound to sell books at RRP; many front-list books are sold substantially below RRP, while the ACCC's inquiries indicated that most retailers set their back-list prices at the RRP.

20. The ACCC understands that while an RRP is set for each locally printed title, these RRPs are only *printed* on around 20% of books.

Regulatory restrictions

21. The majority of books published in Australia are protected from parallel importation[1] by the *Copyright Act 1968* (Cth). With very limited exceptions, books can not be parallel imported by commercial interests if they have been published in Australia within 30 days of being published overseas. This effectively gives the Australia copyright holder (generally the publisher or distributor) a monopoly in respect of these titles. This is discussed further in paragraph 41.

22. Borders is a significant importer of books without copyright protection in Australia (i.e. books that were not published in Australia within the relevant time frame), taking advantage of the market knowledge and stock of its US parent.

23. Consumers can also purchase books directly from overseas based internet sites such as Amazon.

[1] A book or magazine is 'parallel imported' when it is imported by a third party without the permission of the local copyright holder.

I. Future with/without test

24. In assessing whether a merger is likely to breach section 50 of the Act, the ACCC applies a future “with and without” test. That is, it considers and compares the likely future state of competition with and without the acquisition.

25. The ACCC considers that if the acquisition proceeds ARW is likely to continue to operate Angus & Robertson and Borders as distinct brands and formats.

26. In the event that the transaction does not proceed, the ACCC considers that the most likely result is that Borders will continue to operate under separate ownership rather than exiting the market or selling to another book retailer.

J. Market definition

27. The ACCC considered that the relevant markets for the purpose of assessing the competition effects in this matter were the:

- local markets for the retail sale of books (from retailers to consumers); and
- national market for the acquisition of books (by retailers from publishers & wholesalers)

Local markets for the retail sale of books (from retailers to consumers)

Product dimension

28. The ACCC considered that the relevant product market is the market for new book retailing.

29. The ACCC notes that copyright laws confer a monopoly in any given title. However, the relevant field of competition is not amongst the titles themselves, but rather the retail offering of those titles to consumers. Book retailers compete on the basis of a number of attributes, including price, range and service.

30. Retailers that operate in the relevant local book retailing markets can be grouped into the following categories:

- Specialist national book chains — ARW, Dymocks, Borders, Collins, Book City and QBD;
- Specialist independent book retailers — Readings, Gleebooks, Better Read Than Dead etc; and
- Department and discount department stores — Myer, David Jones, Big W, Target and K-Mart.

31. The ACCC did not find that second-hand book retailers compete in the same market as traditional or ‘new book’ retailers. Consumer research obtained by the ACCC suggests that borrowing from libraries and second-hand purchases are not generally influenced by the price (or other attributes) of a new book, and vice versa.

32. Market inquiries indicate that some retailers specialise in certain types of titles. For example, the discount department store (DDS) chains stock a limited range consisting of new release and high volume titles (‘key titles’) at low prices. The DDS chains price below the RRP, often by a significant amount.

33. The ACCC considered whether separate product markets exist for front-list titles versus mid-list and back-list titles. The ACCC notes that while some retailers focus on selling front-list and high visibility mid-list and back-list titles only; the reverse is not true; a retailer would rarely sell only back-list titles without any bestsellers. Further, the ACCC considers that at least some proportion of consumers would be willing to switch between front-list and back-list titles in the event of a price rise in either segment. Overall, given the ranges offered by the merger parties, the ACCC does not consider that a separate product markets for key titles is appropriate in assessing this acquisition. Nevertheless, the ACCC has taken into consideration the likelihood that the merged firm will be subject to different competitive constraints when retailing front-list and back-list titles.

Geographic dimension

34. The ACCC’s inquiries confirmed its preliminary view (as outlined in the Statement of Issues) that a series of local markets for the retail sale of books to consumers is the appropriate market definition.

35. The ACCC considers that the size of local markets is likely to vary depending on a range of factors affecting individual local areas. The relevant geographic market is the area in which consumer substitution would occur in response to a small but significant, sustained price increase (say 5-10%), rather than the catchment area of the stores.

36. It is important to note that not every book retailer within the local market will impose the same competitive constraint. There are a number of factors that will increase the competitive constraint imposed by certain competitors in any given local market. In particular, proximity is an important factor in local book retailing markets. Market inquiries revealed that retailers tend only to pay close attention to book retailers operating in very close proximity to their stores. Other factors which affect the strength of the competitive constraint between two book retailers include similarity of range, size, service, target demographic, type of location (mall or strip), and format (independent or chain). Two retailers which are similar in each of these respects and which are located very close to each other will impose a much stronger constraint on each other than two retailers which are more distant from each other (geographically and/or in respect of the other factors listed here).

National market for the acquisition of books (by retailers from publishers & wholesalers)

Product dimension

37. The ACCC considered that the relevant product market is the market for the acquisition of books. The suppliers in this market are book publishers and wholesalers, and the key customers are the retailers discussed above.

38. Publishers and book distributors each supply a range of differentiated products to consumers via retailers, the internet and direct sales. Individual titles supplied are imperfect substitutes for each other and both the level of consumer demand and the responsiveness of demand to changes in price will vary by title.

39. Nonetheless, the ACCC considers that it is appropriate to define a single market for the acquisition of books, but notes that there are likely to be differing degrees of competitive constraint across individual titles and this will in turn impact on the purchasing decisions of retailers.

Geographic dimension

40. The ACCC considered that the relevant geographic dimension of the market is national. Publishers and distributors tend to operate out of a given region but supply books to retailers and other sales outlets across the country. In addition, much of the buying activity of the major retailers happens nationally.

41. While book titles that originated overseas represent a significant proportion of wholesale book sales in Australia, generally these are acquired from Australian suppliers. Australian copyright laws provide the Australian rights holder with the exclusive rights to a title provided it has been released in Australia within 30 days of its release overseas. The majority of book sales in Australia are of titles subject to parallel import restrictions.

K. Possible competitive harm: unilateral and coordinated effects

42. This section sets out the possible competition concerns examined by the ACCC. The following sections set out the ACCC's concluded views on each of these.

Local markets for the retail sale of books (from retailers to consumers)

43. Initial market inquiries indicated that the proposed acquisition may lessen competition in local markets through both network-wide competition effects and local competition effects.

- *network-wide effects* (i.e. across every local market in the store network) — Competition from Borders generates a network-wide competitive response from ARW (and vice-versa). That is, ARW takes Borders' prices and promotional offers into account when setting its prices and promotional offers across all Angus & Robertson stores (including stores in local areas where a Borders store is not present). Borders similarly takes ARW's retail offers into account in setting its network-wide prices and promotions. The term "network-wide effects of the acquisition" refers to these impacts; and
- *local effects* — ARW also responds to Borders' pricing and promotions at a store-by-store level (for example by discounting at only those stores in the vicinity of a Borders store).

44. In local markets where there is a Borders and an ARW store, both the network-wide and local effects will be relevant. In local markets where there is an ARW store but no Borders store, only the network-wide effects will be relevant.

National market for the acquisition of books (by retailers from publishers & wholesalers)

45. Initial market inquiries also identified a potential increase in the merged entity's negotiating power with publishers in the national market for the acquisition of books, and associated impacts, as a possible anti-competitive effect of the acquisition.

L. Competition analysis – network-wide effects on local markets for book retailing

Retail competitors

46. The ACCC considers that the specialist national book chains are each other's closest competitive constraint both at the local and the national (or 'network-wide') level. The reasons for this are discussed below.

Assessing the level of competitive constraint

National sales shares

47. The ACCC received data from a number of sources estimating the size of national sales shares of book retailers. The following table indicates the range of sales shares estimated.

48. While these figures give an indication of the relative sales volume of the respective retailers, and are useful in analysing the effect of the transaction in relation to publishers, national sales shares are of limited utility in assessing the effect of the transaction in retail markets. The limitations of this information include the fact that national sales shares are not a reliable basis for local market analysis, and the fact that the sales shares do not account for the differing levels of constraint imposed by different types of retailers (as discussed in the Market Definitions section).

Table 1: National Retail Sales Figures

Retailer	National sales shares[2] (%)
A&R Whitcoulls Group (both company and franchisee owned stores)	20 - 21
Borders Australia	7 - 10
Merged Entity	27 - 31
Dymocks	10 - 15
Collins	2 - 3
QBD	0.5 - 2
Department stores and DDS	20 - 21
Others (including independents)	22 - 38

Table compiled by the ACCC using various estimates provided by market participants.

Specialist book retailers versus multi-product retailers

49. There is a significant difference in the operating model of those stores that stock books as part of a broader retail mix — the department stores and DDS chains — and those that focus on book retailing.

50. The department stores and DDS chains focus on retailing a limited range of popular books (popular new releases and best sellers) and children's titles including activity and colouring books. The depth of the range they offer is significantly less than that of the specialist book stores.

[2] Note that these are ranges of estimates from different sources. Accordingly they do not sum to 100%.

51. Essentially, the overlap between the ranges of these types of stores and specialist national book retailers consists of front-list books (the top 200 lead titles) and a limited range of mid-list and back-list titles by ‘blockbuster authors’. Further, the DDS chains and department stores provide little in the way of specialist advice or assistance on books.

52. Therefore, customers of specialist book retailers are unlikely to consider a department store or DDS a viable substitute across all their book purchases. In particular, given the limited range available at DDS, consumers are unlikely to find these an adequate substitute for when they want to browse or when they are searching for a book outside the best seller list. Consumers are most likely to purchase from a DDS when they are seeking the best price on a particular new blockbuster title, or if they are already shopping in store for other product lines.

National book store chains vs independents

53. Despite the significant share of national book sales by independent book retailers, they appear to pose a limited pricing constraint (whether individually or in aggregate) on specialist national book chains. They are particularly weak as a constraint on the discounting behaviour of the national chains, because they tend not to discount many books (other than remainders[3]) below RRP, and they are unlikely to have the capacity to do so to the degree of the national chains. However, independents, most of whom price books at RRP, represent a stronger constraint against above RRP pricing by the merged entity.

Geographic overlap

54. In addition to the closeness of their business models (discussed above), the ACCC considers that an important determinant of the *network-wide* constraint one book chain places on the other is the size of the chain (in terms of their national sales share) and the degree of geographic overlap between the two.

55. ARW is the national retail chain with the most comprehensive national coverage, with 181 book stores (118 company owned and 63 franchised) across every state and territory in Australia. Dymocks is next with 74 stores. Borders has 22 stores (7 in Victoria, 9 in New South Wales, 3 in Queensland and one each in South Australia, Western Australia and the ACT).

56. In spite of its relatively small number of stores, Borders’ relative aggressiveness as a competitor has generated reactions from ARW at a national level. This is discussed in the section on Borders as a vigorous and effective competitor.

New entry as a constraint

57. As noted above, the three national specialist national book chains act as strong constraints on each other’s strategic decision-making at a national level.

[3] Remaindered books are books that are not selling well and whose remaining unsold copies are being liquidated by the publisher at greatly reduced prices.

58. Neither one-off entry by independents (or a series of one off entries by independents), nor entry by a small chain will have a significant effect on this network-wide behaviour of the large specialist national book chains, since such retailers are largely disregarded in the large chains' national decision making. A national chain, with predominantly shopping centre sites, is required to act as an effective constraint on a national level.

59. The ACCC considers that barriers to timely entry/expansion on a national scale are significant. In particular, entry costs are significantly higher when opening a chain of stores as opposed to an individual store, as are the difficulties associated with obtaining a network of suitable shopping centre sites in a timely manner.

60. While the example of the recent expansion of QBD indicates that in the medium to longer term it is possible for chains to acquire the shopping centre sites necessary to expand, the ACCC considers it unlikely that a large new national chain could emerge within 1-2 years[4]. Accordingly, this assessment is focussed on the constraint imposed by existing players and does not rely on the possibility of a new competitor emerging to constrain the merged firm with respect to aspects of network-wide competition, such as discounting and promotions.

The internet as an alternative channel

61. Consumers can purchase books from Australian and international websites, most notably from Amazon.com, which has no Australian website but sells into Australia via its UK and US sites. The landed price of Amazon books is generally comparable to prices at retailers with a shop-front presence (referred to in the book retail industry as "bricks and mortar retailers"), although this varies with exchange rate fluctuations, order size, and postage costs. Many retailers noted that orders on Amazon do not include GST.

62. Bricks and mortar retailers offer consumers the ability to browse in store and to avoid the delay in obtaining a book via the internet or mail-order. These are the key advantages of bricks and mortar retailers over online stores.

63. The ACCC's inquiries indicated that the bricks and mortar retailers do not consider internet pricing when setting prices (although it appears more likely that they consider the websites of other bricks and mortar retailers).

64. The ACCC considers that, although the internet may be an increasing channel for book purchases in Australia, it is not a close substitute for the merger parties and is not comparable to the bricks and mortar retailers in terms of the competitive constraint it would provide to the merged entity.

65. Specifically, the ACCC considers that the internet is unlikely to provide a strong competitive constraint on bricks and mortar book retailers, at least in the short to medium term, and the ACCC did not rely on the internet as a constraint in reaching its decision.

[4] In assessing mergers, the ACCC examines the likelihood that timely entry, of a scale and nature sufficient to constrain the merged entity, would occur in response to any exercise of market power (such as a small but significant sustained increase in price) by the merged entity.

Conclusion on network wide constraints

66. ARW, Borders and Dymocks are the three major national book chains which stock a wide range of book titles, complemented by customer service. As such they impose strong constraints upon each other's actions. With limited exceptions, most smaller bookstore chains and independent book retailers focus on service and/or specialty titles rather than price, and are generally unable to buy books for the same wholesale prices as those paid by the national chains. As such, they generally impose only a limited pricing constraint in terms of discounting but may impose a stronger constraint in terms of preventing price increases on full-priced books.

67. The ACCC's market inquiries confirmed that although DDS and department stores offer very competitive prices on the books they sell, they tend to offer smaller ranges compared to specialty bookstores and would therefore not constrain the merged entity's pricing outside the 'best sellers', new release or high-volume non-fiction titles carried by the discount department and department stores. Internet based retailers do not appear to act as strong constraints upon the merger parties.

Reduction in price and non-price competition through the removal of a vigorous and effective competitor

Reduction in discount and promotional offers

68. The national book chains compete on price through a range of discounting and promotional offers including deep discounts on new titles, discount offers on mid-list and back-list such as multi-buys (eg. 3 books for the price of 2), or percentage discounts (whether store wide or on a particular category). Dymocks and ARW also offer loyalty programs which act to effectively reduce prices for customers who make repeat purchases.

69. Borders' pricing and promotional offers are viewed by market participants as particularly innovative and aggressive.

70. All the specialist books chains, particularly ARW, Borders and Dymocks, offer deep discounts on a selection of front-list titles. As noted above, the department stores and the DDS chains also discount heavily (and in general more comprehensively) on front-list titles.

71. In contrast, mid-list and back-list titles are not sold at a discount to RRP on an everyday basis. Market inquiries indicate that instead of the more direct shelf-price competition evident in many other industries, the price competition between book retailers in the back-list segment generally takes place via special promotions, discount offers across certain genres, loyalty programs and member newsletters. The ACCC considers that these offers are the primary way consumers can purchase mid-list and back-list titles at a discount to RRP.

72. The ACCC considers that it is the specialist book chains that compete most strongly on these types of discount offers. While some independent book retailers offer loyalty programs, most do not have the capacity for significant discounting. The DDS chains only offer a limited mid-list and back-list range.

73. Based on the evidence available, the ACCC considers that there is strong competition between the specialist national book chains on both front-list pricing and for discounts and promotional offers more generally. The ACCC found that ARW promotions and discounts often occur in response to both Dymocks and Borders promotions and discounts.

Likely impact on competition from the removal of a separately owned Borders

74. Based on the evidence provided, the ACCC regards Borders as a vigorous and effective competitor in the retailing of books. The ACCC considers the incentive for Borders to compete aggressively stems from both its imperative to grow market share during its expansion phase as well as its larger format store model that relies on heavy foot traffic.

75. The ACCC considers that the proposed acquisition will, to some extent, decrease the level of discounting and promotion of books by the national specialist book chains. The national book chains — ARW, Dymocks and Borders and, to a lesser extent, QBD and Collins — represent each other’s closest competitive constraint in setting prices and retailing strategies for books. Removing Borders as a separately owned competitor is likely to lessen the degree of competitive tension in the market.

76. However, the ACCC notes that only a limited proportion of purchases made at the specialist chains are at a discount; many customers pay full price. While the ACCC considers that the likely winding back of some discounts represents a lessening of competition, it concluded that any reduction in discounting is likely to be limited given the continuing competition from Dymocks as well as the possibility of expansion by one of the smaller chains such as QBD or Collins.

Slowing of the expansion of the Borders store network

77. The ACCC considers that ARW will have a reduced incentive to open new Borders stores, because it will internalise the impact that the opening of a new Borders store will have on existing ARW stores. That is, ARW will have to weigh the increased profits from the new Borders store against the loss of sales by nearby ARW stores as a result of the opening of the new Borders store.

78. To the extent that the merger results in a reduced rate of store openings, this reduced growth would, in the ACCC’s view, prevent the vigorous competition otherwise offered by Borders in those new local markets into which the brand would have expanded.

79. Further, consumers in those locations would lose from the reduced availability of Borders as a shopping option and the unique attributes of a Borders store— large format stores with considerable range and browsability.

80. However, the information available to the ACCC indicated that the rate of store openings without the merger is uncertain. Further, the ACCC concluded that it is unlikely that the rate of openings with the merger would be substantially less than it would be without the merger.

Conclusion on the removal of a vigorous and effective competitor

81. The acquisition will remove Borders as an independently owned competitor from the Australian local retail markets for books. It is likely that this will result in some lessening of discounting and a small reduction in the number of Borders openings compared to the situation without the acquisition. However, given the combined constraint of the national book chains and the department stores and DDS, these effects will be limited and in the ACCC's view they do not amount to a substantial lessening of competition.

Increasing prices above recommended retail price

82. In the Statement of Issues the ACCC identified the risk of the merged entity increasing retail prices on back-list titles as an issue likely to cause competition concerns. Borders and ARW overlap significantly in stocking mid-list and back-list titles. It is also within these title ranges that price competition from other retailers is the weakest, with no retailer consistently pricing these books below RRP.

83. ARW has a policy of pricing many of its back-list titles above RRP and it appears likely that this will continue. Borders did not, until very recently, price above RRP on any back-list titles. While it still prices the majority of its back-list titles at or below RRP, the ACCC's inquiries revealed that Borders recently began pricing a proportion of its back-list titles above RRP. In the ACCC's view, there is a strong likelihood that ARW will attempt to implement a similar policy to its own with respect to Borders' back-list book pricing.

84. However, given ARW's policy of pricing above RRP on many back-list books, the ACCC considers it unlikely that competition from ARW is currently the primary factor constraining Borders' back-list pricing. In other words, the ability of Borders to price certain titles above RRP is unlikely to change significantly as a result of the proposed acquisition.

85. There appear to be low barriers to customer switching, and in most locations where Borders and Angus & Robertson operate there are nearby competitors who price back-list books at RRP. If the merged entity rolled out above-RRP pricing throughout the Borders back-list, most customers would have viable alternatives.

Conclusion on the likelihood of increased prices on full-priced books

86. The ACCC considered that the ability of customers to switch to other book retailers will to some degree limit the ability of the merged entity to further increase backlist prices above RRP. Further, it appears that Angus & Robertson imposes only a very limited constraint on Borders' back-list pricing. In these circumstances, the ACCC does not consider that the proposed acquisition will result in a substantial lessening of competition in the form of a significant increase in the retail prices of mid-list and back-list books.

M. Competition analysis – local retail effects

87. In its Statement of Issues, the ACCC identified the reduction of actual and potential competition in local markets as an issue that may raise concerns. The ACCC outlined concerns that unless the merged entity is strongly constrained by other retailers, the acquisition may lead to reduced discounting (and higher overall prices) and reduced competition on range, service and other non-price factors.

88. There are 22 Borders stores across Australia. In 19 of the local areas where a Borders store exists there is also an ARW store.

89. The 19 local areas where both Borders and ARW stores exist are Adelaide, Bondi Junction, Brisbane CBD, Camberwell, Canberra, Carlton, Chadstone, Chatswood, Chermside, Mt Gravatt, Maribyrnong, Hornsby, Wantirna, Kotara, Campbelltown, Melbourne Central, Perth, South Yarra and Sydney CBD. The local areas where there is a Borders store but no ARW store are Tuggerah, North Ryde and Parramatta.[5]

90. As outlined above, the ACCC considers that the price level in individual markets is a function both of local competition and network-wide pricing effects. Market inquiries indicated that ARW makes the majority of its pricing and promotional decisions at a national or network-wide level with regard to a number of factors, including certain competitor behaviour. However, some additional competitive discounting occurs at a local level where ARW stores face significant local competition.

91. The ACCC's inquiries indicated that additional discounting and promotional responses that occur at a local level typically occur for short discounting periods or across a limited range of products, and that where this occurred it was generally as a response to the local presence of another book chain (particularly a new store). As a proportion of overall sales, this local discounting, in its own right, represents only a small price reduction for consumers.

[5] The ARW store located in Parramatta closed during the ACCC's consideration of this matter.

92. As noted above, the ACCC considered that independents and small competitors in local markets will provide customers with an alternative in the event that the merged entity attempts to further increase prices above RRP on full priced back-list titles. However, market inquiries indicated that these retailers appear to impose little constraint upon ARW, or any of the national chains, in relation to local discounting or promotional activities. Market inquiries indicated that ARW and Borders stores compete strongly where they are located near each other, although other national chains also provide some level of constraint.

Conclusion on local effects

93. The ACCC considered that the acquisition is likely to result in some lessening of competition in the local markets where Borders and Angus & Robertson currently both compete, particularly in relation to discounts and promotions.

94. However, the extent of this lessening of competition is likely to be limited; even pre-acquisition, ARW's discounts on a local basis are transitory and tend to be less substantial as time passes following the entry of a Borders store. Further, in the majority of local areas, the merged entity will continue to face one or more of the other national chains. Barriers to entry on a local scale are lower, and localised entry is likely to be effective in constraining prices on full priced books (although not effective in relation to large discounts and promotions). In the event that a competitive Dymocks franchisee or a QBD store enters these markets, the local competitive constraint would be strengthened.

95. Given these factors, the ACCC considered that the local effects of the acquisition were unlikely to amount to a substantial lessening of competition.

N. Competition analysis – national market for the acquisition of books (by retailers from publishers & wholesalers)

96. In the Statement of Issues, the ACCC identified a potential increase in the merged entity's negotiating power with publishers, and the associated impacts on the retail market as an issue that may cause competition concerns.

97. Both before and after the Statement of Issues, the ACCC spoke to a significant number of market participants about their concerns that, post-acquisition, ARW would use its increased scale to leverage improved buying terms with suppliers.

98. In particular, some publishers were concerned that the increased size of the merged firm may give it the ability to:

- negotiate larger standard discounts;
- negotiate larger or more frequent promotional (title-by-title) discounts; and/or
- negotiate a larger share of publishers' co-op (retailer advertising) budget.

99. Some publishers further raised the concern that moving from having separate ARW and Borders book buyers to a single consolidated buyer would increase the risk associated with their publishing decisions.

Market concentration

100. Most publishers contacted during the ACCC's inquiries, indicated that a merged ARW-Borders would account for between around 20% and 35% of their sales. Publishers generally indicated that Borders' share of their sales had increased over the last few years.

101. Most publishers also indicated that they had significant sales through Dymocks (about 13% on average). DDS chains and department stores are also an important sales channel, particularly for larger publishers (more than 20% of their sales for some publishers). Smaller publishers, on the other hand, make very few sales through this channel. Independents (including through buying cooperatives such as Leading Edge), smaller chains, and a very small percentage of sales to internet retailers, make up the remainder.

Impact of the acquisition on ARW's negotiating power

102. Many publishers indicated that currently if ARW does not take a book they can 'live with it'. However, with ARW-Borders representing on average between 20 and 35% of their potential sales for a new title, publishers indicated that the merged entity would have the potential to 'make or break' some titles in the sense that the new titles would be uneconomical to publish if not picked up by the merged entity.

103. This concern particularly stems from the economies of scale in book printing — larger publishers consider that 5000 copies is the minimum print run for which a book can be viable, with unit costs increasing significantly below this range.

104. Many publishers were concerned that the aggregation of these two large buyers would increase the risk associated with their publishing decisions. Currently, even if they do not sell a title to both ARW and Borders, there is still the chance that one of them will pick it up. Publishers were concerned that having the buying decision concentrated in the hand of a single buyer would increases the risk that a title will be excluded from both Angus & Robertson and Borders.

105. However, the ACCC notes that Borders and Angus & Robertson will continue to require a sufficient number, range and quality of books to satisfy the demands of their customers and to fill their existing display space. The balance of negotiating power will continue to vary depending on the retail appeal of a particular book (or of a publisher's range of titles). Further, approximately 70% of books will continue to be bought by other retailers.

Conclusion on national market for the acquisition of books

106. Publishers and distributors were particularly concerned about the impact of the acquisition on their local publishing and distribution operations. However, it appears that these concerns stem from management concerns in relation to ARW's buying practices being rolled out to Borders stores as much as from a change in market structure as a result of the acquisition.

107. The changes in terms of trade that are potentially achievable for ARW post-acquisition are likely to have some impact on publishers' local publishing activities. However, the ACCC considers that the impact of this shift in bargaining power is unlikely to lead to substantial consumer detriment.

108. Some market participants submitted that the increased post-acquisition market power would lead to a decrease in discounts or co-payments received from publishers by other retailers, greater access for ARW to exclusive titles, or publishers responding by increasing the RRP on their titles. However, the ACCC considers that there was insufficient evidence to support the views raised by market participants that the shift in ARW's negotiating position with publishers is likely to constitute a substantial lessening of competition in this market.

O. Conclusions

109. Borders is strongly competitive on range, discounting and promotions, and has rapidly grown both its store network and its sales in existing stores.

110. The ACCC considers that as a result of the acquisition, there is likely to be some reduction in the discounting and promotional strategies (eg. 3 for 2 offers, coupons offering 30% off any book) that allow customers to purchase mid-list and back-list titles at less than the RRP.

111. However, the merged entity will continue to face a number of competitors, including Dymocks, which is ARW's closest competitor in terms of store numbers and a key competitor that ARW uses to benchmark price, and will therefore continue to face pressure to offer discounts.

112. The ACCC also considers that some of the targeted local discounting undertaken by ARW in response to Borders stores in particular local areas will be reduced as the result of the acquisition. However, the extent of the local response by ARW to Borders, while significant in relation to particular titles and parts of the range, is relatively small when considered in the context of all sales, and it appears that the response diminishes over time. Further, ARW is likely continue to engage in some discounting in response to other national retail chains, such that the likely reduction in local discounting is unlikely to amount to a substantial lessening of competition in its own right.

113. In relation to the risk of the merged entity increasing prices on full priced books, the ACCC considers that competition from Dymocks and consumers' ability to switch to independent retailers and smaller chains will constrain the merged entity's ability to price above RRP on back-list books.

114. Further, although the merged entity's bargaining power against some publishers will be strengthened, this is unlikely to result in significant consumer detriment or a substantial lessening of competition in the market for the acquisiton of books by retailers from publishers and wholesalers.

115. The ACCC therefore does not intend to oppose the proposed acquisition.